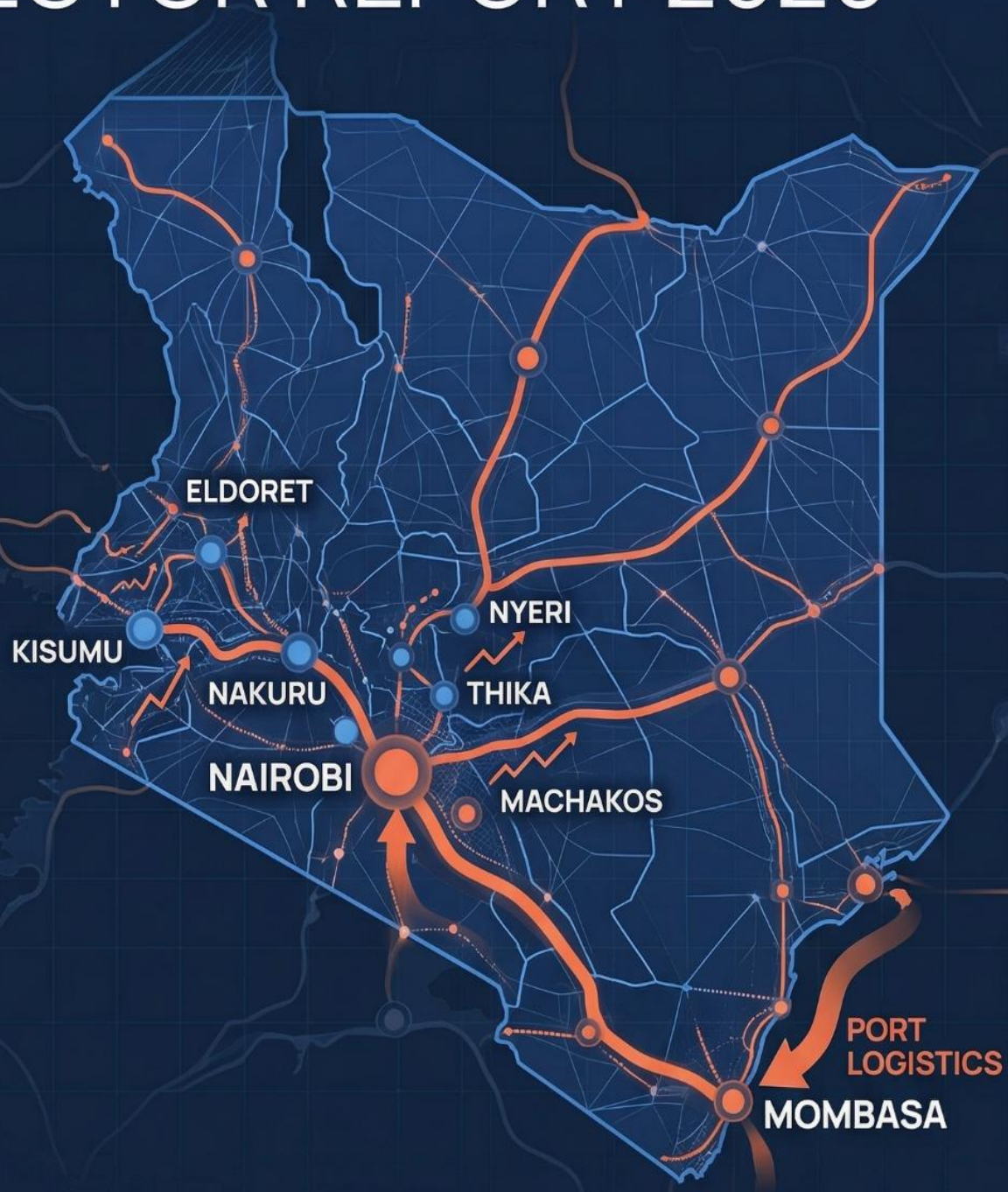


KENYA Retail & Consumer SECTOR REPORT 2026



Strategic Insights for Consumer Markets, Retail
Networks, and Distribution Systems in Kenya

Mapping the markets driving
Kenya's consumer economy



Prince Muraguri
Founder — Econsult Africa



Econsult Africa

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KENYA 2026

RETAIL & CONSUMER

INTELLIGENCE BRIEF

Headline inflation says 4.3%. Food inflation says 7.3%. Youth unemployment says 40-67%. The consumer is where all seven other briefs converge into lived experience.

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

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Section 1: Macro Context in 60 Seconds

This is the brief that ties the other seven together. Every sector we have analysed in this series — banking, agriculture, energy, technology, manufacturing, tourism, real estate — ultimately transmits through the consumer. The farmer who grows the maize, the banker who prices the loan, the developer who builds the house, the Safaricom platform that processes the transaction — all of their outcomes converge in the lived experience of 54 million Kenyans making daily decisions about what to eat, what to buy, how to get to work, and whether to spend or save.

The Outlook frames the consumer's position with a concept it calls **“inflation inequality.”** Headline inflation sits at 4.3% in February 2026, comfortably within the CBK's target range and marking a six-month low (KNBS, 2026). By the textbook, this is stability. But food prices are climbing at 7.3% — nearly double the headline — and for the poorest 40% of Kenyan households, who spend roughly half their income on meals, the effective inflation rate is in the double digits for essentials (Econsult Africa, 2026). Maize flour prices rose 13.2% year-on-year in December 2025. Core inflation at 2.6% confirms subdued demand-side pressure, meaning the economy is operating below potential. The consumer is squeezed from two directions: food costs rising faster than incomes, and youth unemployment estimated at 40-67% (depending on definition) locking an entire generation out of the formal economy (Econsult Africa, 2026).

Since the Outlook was completed, the oil shock has added a third pressure. Brent at \$112 versus the Outlook's assumed \$58-67 will cascade through transport costs, food logistics, and energy bills once the April EPRA pricing cycle absorbs the March-priced cargoes. The Mastercard Economics Institute projects 4% growth in Kenyan consumer spending for 2026, driven by digital adoption and trade diversification (Mastercard, 2026). Wholesale and retail trade grew 4.8% in Q3 2025, a consistent contributor to GDP (Trading Economics, 2026). Consumer spending reached KSh 8.1 trillion in 2024, up 7% (Trading Economics, 2026). But the aggregate conceals the distributional reality: the top 20% drives most spending growth, while the bottom 40% faces a cost-of-living crisis that headline statistics do not capture.

This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data through March 29, 2026. All 2026 projections are forward-looking. The consumer perspective integrates findings from all seven preceding sector briefs.

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (<https://econsult.africa/kenya-2026>).

Section 2: Sector Performance and Trajectory

The Two Kenyas: A Consumer Economy Split in Half

Kenya's consumer economy operates on two tracks. The first is a digitally connected, M-Pesa-enabled, smartphone-wielding population that shops via apps (44.8% of online orders are mobile), uses ChatGPT (42.1% adoption rate, world-leading), and accesses financial services through the 93% mobile money penetration that is the highest on the continent (CA Kenya, 2025; Safaricom Newsroom, 2026). E-commerce revenue is projected at \$922 million in 2025, growing to \$1.09 billion by 2029 at 4.2% CAGR, with 71.3% of purchases made via smartphones (Statista, 2025; Kilimall, 2026). This consumer is urban, connected, and increasingly sophisticated.

The second Kenya is a country where household disposable income per capita is approximately \$2,200, consumer spending on food takes \$663 of that (30% in the aggregate, but closer to 50% for the bottom two quintiles), healthcare spending per capita is \$22.55, and clothing is \$37.60 (Statista, 2025). This consumer lives in a country where the formal retail sector — supermarkets, shopping malls, department stores — coexists with a vast informal economy of open-air markets, roadside kiosks, and small dukas that serve the majority of the population. The informal economy accounts for an estimated 35% of GDP and absorbs over 80% of new labour market entrants (World Economics, 2026; Econsult Africa, 2026). **The Two Kenyas are not a metaphor. They are a measurable distributional reality that every consumer-facing business must navigate.**

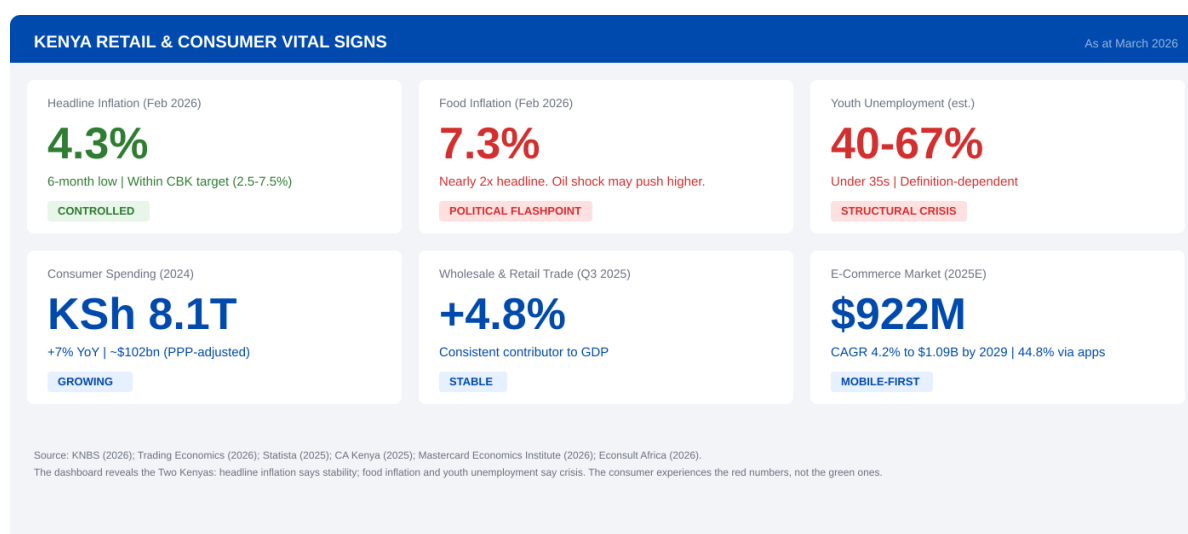


Figure 1: Retail & Consumer Vital Signs. The dashboard reveals the Two Kenyas: headline inflation (green) says stability; food inflation and youth unemployment (red) say crisis. The consumer experiences the red numbers, not the green ones.

The M-Pesa Consumer: Where Digital and Physical Retail Converge

M-Pesa is not just a payment system. It is the consumer's financial infrastructure. With 40 million monthly active users, 61 million daily transactions, and revenue of KSh 161.1 billion in FY2025, M-Pesa mediates how Kenyans pay for goods, receive credit (Fuliza, KCB M-Pesa), save (Ziidi MMF), invest (Ziidi Trader), and increasingly shop (Lipa na M-Pesa at retail). The Fintech 2.0 upgrade (September 2025) and Daraja 3.0 API platform enable third-party developers to build commerce experiences directly within the M-Pesa ecosystem (TechArena,

2026; Tech in Africa, 2026). The convergence of mobile payments and retail is producing Kenya's version of China's WeChat/Alipay-driven commerce model: social commerce (TikTok, Instagram), quick commerce (same-day delivery), and M-Pesa-integrated buy-now-pay-later products are all growing (Mastercard, 2026; Kilimall, 2026).

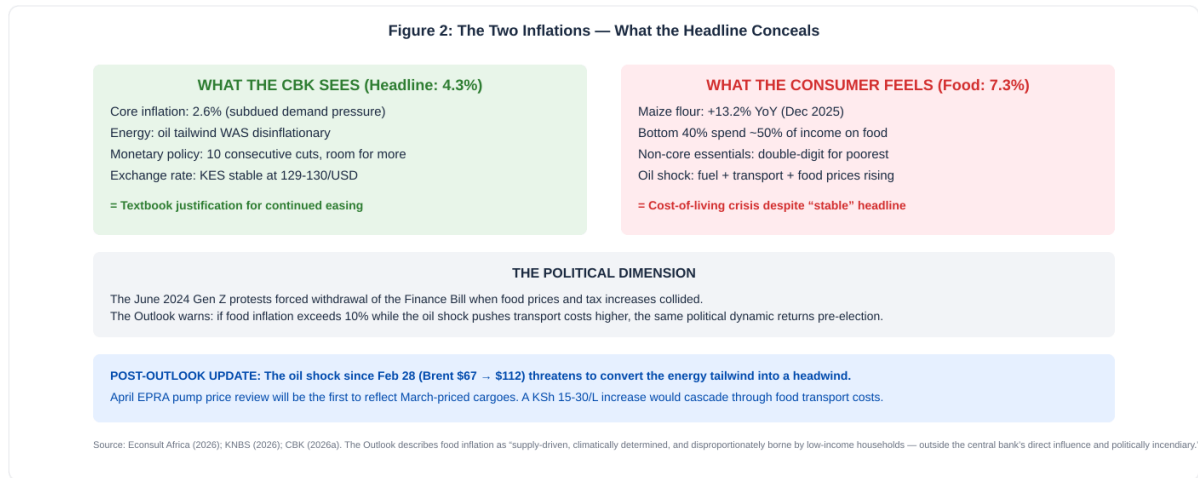


Figure 2: The Two Inflation. What the CBK sees (green, 4.3% headline) versus what the consumer feels (red, 7.3% food). The oil shock since Feb 28 threatens to convert the energy tailwind into a headwind, pushing food transport costs higher.

The Gen Z Factor: Consumer Politics

The June 2024 Gen Z protests fundamentally changed Kenya's consumer-political dynamic. When Parliament was stormed, it forced the withdrawal of the Finance Bill and permanently closed the window for headline tax increases. The Outlook warns that if food inflation exceeds 10% while the oil shock pushes transport costs higher, the same political dynamic returns pre-election (Econsult Africa, 2026). For consumer-facing businesses, this means pricing decisions are not merely commercial — they are political. A supermarket chain that raises prices ahead of the curve risks becoming a symbol of cost-of-living pressures. A fuel retailer that hoards inventory risks regulatory and popular backlash. The consumer's wallet is now a political instrument.

Section 3: Policy and Regulatory Environment

The Inflation Regime: Three Prices, Three Policies

The Outlook decomposes Kenya's inflation into three distinct dynamics requiring different responses. Core inflation at 2.6% (demand-driven, CBK-responsive) gives the central bank latitude to continue easing. Food inflation at 7.3% (supply-driven, climate-dependent) is outside the CBK's direct control and requires agricultural policy, subsidies, and strategic reserves. Administered energy prices (EPRA-regulated, oil-linked) are about to absorb the Hormuz shock. The CBK has chosen to "look through" the food supply shock rather than tighten into it — the correct textbook response, but one whose political tolerance has limits as the election approaches (Econsult Africa, 2026).

Fiscal Constraints on Consumer Support

The government's ability to support the consumer is fiscally constrained. Debt service at 81.1% of tax revenue and capital expenditure at twenty-year lows of 3.5% of GDP leave minimal room for subsidies, transfers, or safety nets. The Housing Levy (1.5% of gross salary) and NHIF-to-SHIF transition represent additional deductions from disposable income that compress consumer spending power. The Hustler Fund's agricultural subsidies (fertiliser, seeds) address producer-side costs but do not directly reduce consumer food prices. Any oil-driven pump price increase creates an immediate fiscal choice: absorb the cost (depleting the price stabilisation fund) or pass through (inflationary and politically costly) (Econsult Africa, 2026).

Digital Commerce Regulation

Kenya's regulatory framework for digital commerce is still evolving. Data protection (2019 Act), digital lending regulation (CBK oversight), and consumer protection standards are in various stages of maturity. The RBCPM's transparency requirements for lending rates will flow through to consumer credit products, potentially making digital buy-now-pay-later and consumer instalment plans more competitive. Mobile money interoperability between M-Pesa, Airtel Money, and T-Kash was achieved in 2024-2025, and the CBK's Fast Payment System (full rollout projected 2026) will further reduce friction for consumer transactions (Kilimall, 2026; Econsult Africa, 2026).

Section 4: Risk Map

The consumer's risk profile is unique: it **aggregates the risks from every other sector**. Food prices (agriculture), fuel costs (energy), unemployment (manufacturing), loan rates (banking), rent (real estate), and security perception (tourism) all transmit through the consumer.

Risk 1: Oil + Food Inflation Double Shock (Status: PARTIALLY ACTIVE | Impact: High)

Brent at \$112 will cascade through transport and food logistics once April EPRA pricing absorbs March cargoes. Food inflation already at 7.3% with maize prices 13-18% above the five-year average. **Status:** Oil shock active since Feb 28; food inflation already elevated; combination not yet fully transmitted. **Trigger:** April EPRA pump price hike + failed March-May rains. **Transmission:** Real income contraction for bottom 40-60% of households; consumer spending growth stalls; formal retail contracts as consumers trade down (Econsult Africa, 2026; EPRA, 2026; FEWS NET, 2026).

Risk 2: Political Instability / Cost-of-Living Protests (Probability: Medium | Impact: Severe)

The 2024 Gen Z protests demonstrated the political combustibility of cost-of-living pressures. **Trigger:** Food inflation above 10% + pump price increases + pre-election mobilisation. **Early warning:** Social media sentiment; university protest frequency; consumer confidence indicators. **Transmission:** Business disruption; equity outflows; tourism cancellations; government policy reversals. The consumer sector is the first to feel social unrest and the last to recover (Econsult Africa, 2026).

Risk 3: Tax Increases / Levy Burden (Probability: Medium-High | Impact: Medium)

Despite the Gen Z protest constraint, the FY2026/27 budget must close a deficit exceeding 5% of GDP. The Housing Levy (1.5%), NHIF-to-SHIF transition, and potential new excise duties compress disposable income. **Trigger:** FY2026/27 budget (expected June 2026) introduces new levies. **Transmission:** Reduced consumer spending power; formal economy contraction; informal economy expansion.

Risk 4: Formal Retail Consolidation Pressure (Probability: Medium | Impact: Low-Medium)

Kenya's formal retail sector has undergone significant consolidation (Nakumatt collapse, Tuskys decline). Surviving chains face competition from informal traders, e-commerce, and direct-to-consumer models. **Trigger:** Another major chain distress; margin compression from oil costs; landlord-tenant disputes. **Transmission:** Job losses in formal retail; supply chain disruption for FMCG brands; mall vacancy.

Risk 5: KES Depreciation (Probability: Low-Medium | Impact: Medium)

The shilling has been stable at 129-130/USD for 16 months, but the oil shock creates import bill pressure. The Outlook projects KES stability, but a breach of 134/USD would raise consumer goods import costs. **Trigger:** Oil-driven current account widening; capital outflows; EM risk-off. **Transmission:** Imported consumer goods (electronics, clothing, processed food) become more expensive; pass-through to retail prices within 2-3 months (Econsult Africa, 2026; Trading Economics, 2026).

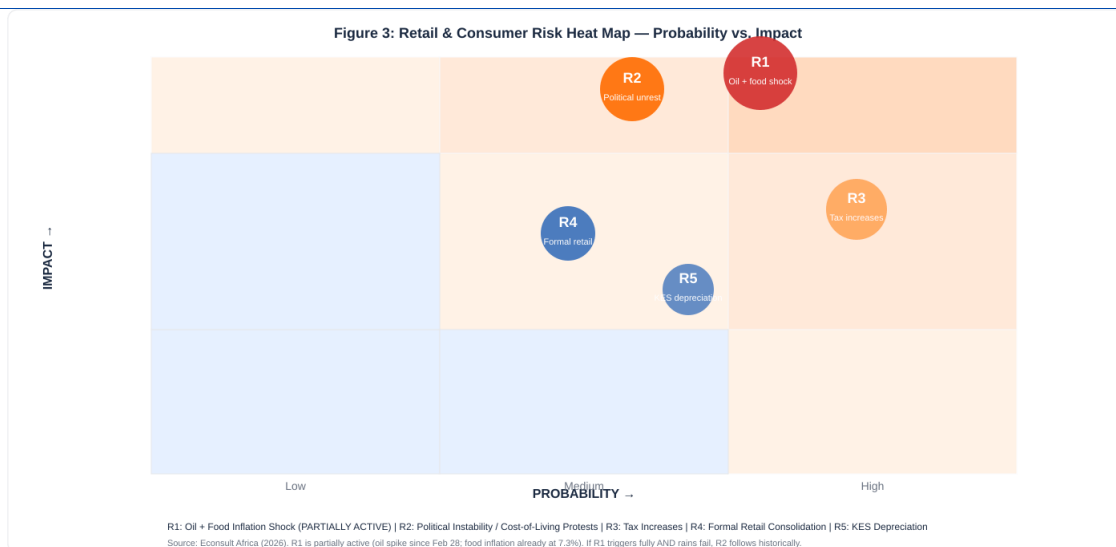


Figure 3: Risk Heat Map. R1 (oil + food shock) is partially active and sits near the high-probability, high-impact zone. If R1 triggers fully AND rains fail, R2 (political unrest) follows historically. The consumer sector is the canary in Kenya's macro coal mine.

Section 5: Opportunity Map

O1: Mobile Commerce and Social Commerce (structural)

Thesis: 44.8% of online orders via apps; 71.3% via smartphones; M-Pesa integration enables frictionless payment; social commerce (TikTok, Instagram) and quick commerce (same-day delivery) growing rapidly. Kenya's mobile-first consumer leapfrogs desktop-era e-commerce. **Evidence:** E-commerce \$922M (2025E) growing to \$1.09B by 2029; M-Pesa 40M MAUs; full mobile money interoperability achieved. **Risk:** Consumer spending growth dependent on macro conditions. **Time horizon:** Structural (Statista, 2025; Kilimall, 2026; Mastercard, 2026).

O2: Value Retail and Affordable Consumer Goods (structural)

Thesis: In an economy where disposable income per capita is \$2,200 and food takes 30-50% of household budgets, the growth segment is value, not premium. Products priced for the bottom 60% — affordable FMCG, sachets, value-pack formats, private-label brands — have structural demand driven by demographics (54M people, median age 20, 4.3% urbanisation). **Risk:** Competition from cheap Chinese imports; informal market substitution. **Time horizon:** Structural, demographic-driven.

O3: Quick Commerce and Last-Mile Delivery (2-5 years)

Thesis: Urbanisation and smartphone penetration create the demand infrastructure for same-day and same-hour delivery in Nairobi and Mombasa. M-Pesa enables instant payment. The infrastructure gap (last-mile logistics) is the opportunity for platforms that solve it. **Evidence:** Kilimall, Jumia, and emerging social commerce platforms growing; Mastercard projects digital adoption as primary consumer spending driver. **Risk:** Unit economics in low-ticket deliveries; traffic congestion in Nairobi; rider cost inflation. **Time horizon:** Medium-term.

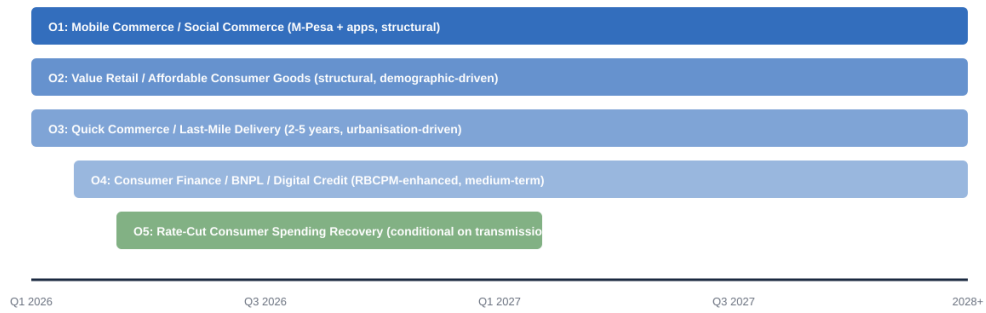
O4: Consumer Finance and Digital Credit (medium-term)

Thesis: The RBCPM reform should compress consumer lending rates over 12-18 months. Digital credit products (Fuliza, buy-now-pay-later, instalment plans) become more competitive as base rates decline. With 84.8% financial inclusion but limited formal consumer credit access, the gap between “having an M-Pesa account” and “having access to affordable credit” is the market opportunity. **Risk:** Predatory lending concerns; regulatory tightening; consumer over-indebtedness. **Time horizon:** Medium-term, conditional on RBCPM transmission (Econsult Africa, 2026).

O5: Rate-Cut Consumer Recovery (conditional, 6-18 months)

Thesis: If the RBCPM improves monetary transmission and the oil shock resolves, the 425bp of cumulative easing should begin flowing through to consumer credit rates and business borrowing costs, lifting disposable income and consumption. This is the upside scenario. **Risk:** RBCPM transmission fails; oil remains at \$100+; food inflation stays elevated. **Time horizon:** Conditional. The Q2-Q3 2026 data window is the test.

Figure 4: Retail & Consumer Opportunity Windows, 2026-2029



Source: Econsult Africa (2026); Mastercard Economics Institute (2026). Blue = structural. Green = conditional on monetary transmission reaching consumer credit rates. Unlike construction or manufacturing, consumer opportunities have no cyclical exit triggers. They are driven by demographics (54M people, median age 20) and mobile penetration (90%+).

Figure 4: Opportunity Windows. Unlike construction or manufacturing, consumer opportunities have no cyclical exit triggers. They are driven by demographics (54M people, median age 20) and mobile penetration (90%+). O5 is conditional on the same RBCPM question running through the series.

Section 6: So What: Implications by Player Type

For Operators (retailers, FMCG, e-commerce, consumer brands)

Price for the bottom 60%, not the top 20%. The aggregate spending growth masks severe distributional inequality. The consumer who drives volume growth is price-sensitive, mobile-first, and increasingly M-Pesa-native. **Integrate M-Pesa into every customer touchpoint.** Lipa na M-Pesa is not a payment option; it is the payment infrastructure. Businesses not on M-Pesa lose access to 40 million consumers. **Prepare for the oil shock pass-through:** April-May 2026 will bring pump price increases that cascade through logistics, cold chain, and consumer transport costs. Build contingency.

For Investors (consumer equity, retail real estate, e-commerce)

Consumer spending is structurally driven by demographics (54M people, median age 20, 4.3% urbanisation) and digitally enabled by M-Pesa and smartphone penetration. These are not cyclical. **Value retail and mobile commerce are the highest-conviction plays.** Premium retail is squeezed by high-end oversupply and consumer trade-down. **E-commerce at \$922M with 4.2% CAGR** is early-stage relative to the addressable market. Quick commerce platforms that crack last-mile delivery in Nairobi will scale.

For Policymakers (KNBS, National Treasury, EPRA, CBK)

Inflation inequality is the policy blind spot. A 4.3% headline that conceals 7.3% food inflation and double-digit essentials inflation for the bottom 40% means the “stable economy” narrative does not match the consumer’s lived experience. **Manage the EPRA pricing decision carefully:** the April pump price review is politically charged. A KSh 15-30/L increase is commercially necessary but politically volatile 18 months before an election. **The Gen Z protest precedent means cost-of-living policy is now security policy.** Consumer distress that crosses the political threshold destabilises the entire macro framework.

For Development Partners (UNICEF, WFP, World Bank)

The consumer brief is the development brief. 4-5 million people need food assistance. Youth unemployment at 40-67%. Disposable income per capita at \$2,200. Healthcare spending per capita at \$22.55. These are not macro statistics; they are measures of human welfare. **Targeted interventions:** school feeding programmes, urban cash transfer pilots, MSME support for informal retailers, and consumer price monitoring that captures the distributional reality the CPI headline misses.

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
Headline CPI	4.3% (Feb 26)	▼ Easing	Reversal above 6%	KNBS	Monthly
Food CPI	7.3% (Feb 26)	↔ Sticky	Exceeds 10%	KNBS	Monthly
Core CPI	2.6% (Feb 26)	▼ Below potential	Reversal above 4%	KNBS	Monthly
Maize flour price	13.2% above 2024	▲ Elevated	Above 20% YoY	KNBS	Monthly
Consumer spending	KSh 8.1T (2024)	▲ Growing	Real contraction	Trading Econ.	Quarterly
Wholesale/retail GDP	4.8% (Q3 2025)	▲ Stable	Below 3%	KNBS	Quarterly
E-commerce revenue	\$922M (2025E)	▲ Structural	Growth below 2%	Statista	Annual
Pump price (petrol)	KSh 178.28 (frozen)	↔ Calm before	Apr review +KSh 15-30	EPRA	Monthly
Youth unemployment	40-67%	▲ Structural	Any measurement helps	KNBS/ILO	Annual
Consumer confidence	Low (qualitative)	↔ Depressed	Protest mobilisation	Surveys	Quarterly



Figure 5: Consumer Under Three Macro Scenarios. The downside triggers are the same as Agriculture and Energy: failed rains + oil. But the consumer feels them simultaneously and first. The baseline (SQUEEZE) is the most likely scenario for the remainder of 2026.

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**Econsult Africa****Methodology**

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

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